

the need for more infrastructure and public goods and services. Also quite a number of incidental services like those connected with traffic, roads, pedestrian bridge etc. has to be provided.

(vi) The tendency for prices to go up has equally contributed to the growth of public expenditure. The increase in prices of input and other goods purchased by public sector has resulted in an increase in public expenditure. It is the responsibility of the government to protect the citizenry against the evils of price mechanism. Consequently, anti-cyclical and other regulatory measures are put in place. Efforts are made to reduce income and wealth inequalities and bring about social and economic justice.

(vii) Increasing public expenditure can also be explained in terms of increasing cost of debt servicing. Since states are related to one another through various economic transactions, there are tendencies to run into debts, which must be settled.

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Definition and Meaning

Public finance, according to the traditional definition of the subject, is that branch of Economics which deals with, the income and expenditure of a government. In the words of **Adam Smith**; "The investment into the nature and principles of state expenditure and state revenue is called *public finance*". The earlier economists were perfectly justified in giving this definition of the science of public finance because the functions of the public authorities in those days were simply to raise revenue by imposing taxes for covering the cost of administration and defence.